

SEQUEL: Willcox & Gibbs showed a small operating loss for 1970. Its price declined drastically to a low of $4\frac{1}{2}$, recovering in typical fashion to $9\frac{1}{2}$ in February 1971. It would be hard to justify that price statistically. Whiting had a relatively small decline, to $16\frac{3}{4}$ in 1970. (At that price it was selling at just about the current assets alone available for the shares). Its earnings held at \$1.85 per share to July 1971. In early 1971 the price advanced to $24\frac{1}{2}$, which seemed reasonable enough but no longer a “bargain” by our standards.*

General Observations

The issues used in these comparisons were selected with some malice aforethought, and thus they cannot be said to present a random cross-section of the common-stock list. Also they are limited to the industrial section, and the important areas of public utilities, transportation companies, and financial enterprises do not appear. But they vary sufficiently in size, lines of business, and qualitative and quantitative aspects to convey a fair idea of the choices confronting an investor in common stocks.

The relationship between price and indicated value has also differed greatly from one case to another. For the most part the companies with better growth records and higher profitability have sold at higher multipliers of current earnings—which is logical enough in general. Whether the specific differentials in price/earnings ratios are “justified” by the facts—or will be vindicated by future developments—cannot be answered with confidence. On the other hand we do have quite a few instances here in which a worthwhile judgment can be reached. These include virtually all the cases where there has been great market activity in companies of questionable underlying soundness. Such stocks not only were speculative—which means inherently risky—but a good deal of the time they were and are obviously overvalued. Other issues appeared to be worth more than their price, being affected by the opposite sort of market attitude—which we might call “underspeculation”—or by undue pessimism because of a shrinkage in earnings.

TABLE 18-9. Some Price Fluctuations of Sixteen Common Stocks (Adjusted for Stock Splits Through 1970)